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PUBLIC VERSION

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VIA ELECTRONIC FILING

Ambassador Robert E. Lighthizer
United States Trade Representative
Office of the United States Trade Representative
600 17th Street Northwest
Washington, DC 20508

Attention: Mr. William L. Busis
Chair, Section 301 Committee

**Re: Comments of Mitsubishi Chemical Corporation Concerning Proposed
Determination of Action Pursuant to Section 301 (USTR-2018-0026)**

Dear Ambassador Lighthizer:

On behalf of Mitsubishi Chemical Corporation, its wholly-owned U.S. subsidiary Mitsubishi Chemical America, Inc. (“MCA”), and the twenty-one U.S. subsidiaries of MCA, we hereby submit comments concerning the proposal by the U.S. Trade Representative (“USTR”) to impose a tariff of 10 or 25 percent on certain imports from China pursuant to the *Notice of Action and Request for Public Comment Concerning Proposed Determination of Action Pursuant to Section 301: China’s Acts, Policies, and Practices Related to Technology Transfer, Intellectual Property, and Innovation*, 83 Fed. Reg. 33608 (July 17, 2018) (“USTR Section 301 Notice”).¹

¹ See also *Extension of Public Comment Period Concerning Proposed Modification of Action Pursuant to Section 301: China’s Acts, Policies, and Practices Related to Technology Transfer, Intellectual Property, and Innovation*, 83 Fed. Reg. 38760 (Aug. 22, 2018).

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I. Executive Summary

As MCA's president Mr. Dennis Trice testified before USTR, the imposition of the proposed Section 301 tariffs imports of lithium salt, certain carbonate esters, and electrolyte additives would have a disastrous impact on MCA's U.S. production of formulated electrolyte for the U.S. lithium ion battery ("LIB") industry and downstream U.S. electric vehicle industry.² Currently, demand for LIBs and electric vehicles in the United States is soaring, and these nascent emerging U.S. advanced manufacturing industries are growing rapidly. MCA's Tennessee subsidiary, MC Ionic Solutions US ("MCIS-US") supplies [] formulated electrolyte used by the U.S. LIB and electric vehicle industries that together employ at least 200,000 Americans.

China is currently the only viable source for 80 percent of the raw materials that MCIS-US uses to make formulated electrolyte in the United States. The proposed Section 301 tariffs would hit these raw materials and [] the domestic electrolyte and downstream LIB and electric vehicle industries. Even tariffs at the ten percent level would []

[

]. As Mr. Trice testified at the USTR hearing, if tariffs of even 10 percent are imposed on the raw materials that MCIS-US imports from China, U.S. production would no

² See Testimony of Dennis Trice, President of Mitsubishi Chemical America, Inc. before USTR (Aug. 23, 2018), attached hereto as Attachment A.

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longer be viable and domestic electric vehicle manufacturers would be forced to obtain LIBs from China.

As a result, the proposed Section 301 tariffs on the electrolyte raw materials in question would have precisely the opposite of their intended effect. Rather than pressuring China to reduce its forced technology transfer policies, the tariffs would promote the further development of China's own LIB and electric vehicle industries and industrial base. Accordingly, Mitsubishi Chemical Corporation, MCA, and MCIS-US respectfully request that USTR exclude imports from China of certain lithium salts, certain carbonate solvents, and electrolyte additives from the proposed Section 301 tariffs on Chinese imports.

II. Background on MCA, MCIS-US, and U.S. Production of Formulated Electrolyte

MCA and its twenty-one U.S. subsidiaries employ over 2,600 skilled American workers at manufacturing operations in South Carolina, Tennessee and many other U.S. states.³ These facilities contribute billions of dollars to the U.S. economy every year.⁴ Indeed, in the past 10 years alone, MCA companies have invested approximately \$900 million in U.S. manufacturing plants and other facilities across the country.

A good example of these investments is MCA's subsidiary MCIS-US, which has recently invested in a new \$38 million manufacturing plant in Shelby County, Tennessee, near Memphis. The MCIS-US plant is state-of-the-art and makes formulated electrolytes for the LIBs that will

³ See MCA/MCIS-US Presentation at 5-6, attached hereto as Attachment B.

⁴ See *id.*

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power American-made electric vehicles [].⁵

This facility has been growing rapidly to support the burgeoning U.S. LIB and electric vehicle industries. Since November 2016 alone, the company's investments in this facility have created over 50 full time, high-paying manufacturing jobs, with an average wage of \$65,000.⁶ MCIS-US currently [

].

The MCIS-US Memphis plant was constructed specifically to [

[]. Indeed, MCIS-US's production of formulated electrolyte is []. The new plant is the largest U.S. producer of formulated electrolytes and supplies [] of the electrolyte used by U.S. LIB manufacturers.⁷ In turn, [] U.S. hybrid-electric and full electric vehicle industry – an industry that currently employs at least 200,000 Americans.⁸

⁵ See *id.* at 10-12.

⁶ *Id.* at 13.

⁷ See *id.* at 7 and 10-11.

⁸ See Department of Energy, Vehicle Technologies Office (Mar. 27, 2017) Fact Sheet, available at <https://www.energy.gov/eere/vehicles/fact-970-march-27-2017-eleven-percent-motor-vehicles-jobs-focus-alternative-fuel-and> (showing that as of January 2017, total U.S. employment in hybrid electric vehicle production was 112,000, plug-in electric vehicle production was 44,400, and fully electric vehicle production was 42,000) (112,000 + 44,400 + 42,000 = 198,400).

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III. The Imports at Issue

The list of Section 301 tariffs currently being considered by USTR on approximately \$200 billion worth of imports from China includes several key raw material inputs used by MCIS-US to produce formulated electrolyte at its Tennessee plant.⁹ Specifically, these raw materials are:

- Lithium salts: mainly lithium hexafluorophosphate (CAS number 21324-40-3) which are classified under HTS subheading 2826.90.90;¹⁰
- Carbonate solvents: dimethyl carbonate (CAS number 616-38-6), diethyl carbonate (CAS number 105-58-8), ethyl methyl carbonate (CAS number 623-53-0), ethylene carbonate (CAS number 96-49-1), and propylene carbonate (CAS number 108-32-7). These carbonate solvents are classified under HTS subheadings 2920.90.51 and 2932.99.90;¹¹ and
- Additives: vinylene carbonate (CAS number 872-36-6) classified under HTS subheading 2932.99.90.

IV. The Impact of the Proposed Tariffs Would Be [

]

A. The Imposition of Section 301 Tariffs Would Cause [] Economic Harm to MCA's U.S. Operations

In announcing the Section 301 tariffs, USTR stated that the proposed list of HTSUS subheadings to which Section 301 tariffs would apply was compiled by the staff of various U.S. trade agencies who used an algorithm to identify and “remov{e} specific products . . . likely to cause disruptions to the U.S. economy” and to select products for which alternative country

⁹ See MCA/MCIS-US Presentation at 8 and 10, attached hereto as Attachment B.

¹⁰ See U.S. Customs and Border Protection (“CBP”) New York Ruling Letter (“NYRL”) 867834 (Nov. 7, 1991) (classifying lithium hexafluorophosphate).

¹¹ See NYRL B82042 (March 25, 1997) (classifying dimethyl carbonate and ethylene carbonate) and NYRL F86882 (July 11, 2000) (classifying diethyl carbonate).

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sources of supply exist.¹² As USTR explained, the Section 301 tariffs are intended to “maximize the effect on China and minimize the effect on U.S. consumers” while seeking to “avoid disruptions to the U.S. economy.”¹³

MCA appreciates and agrees with USTR’s intention to select products that will have minimum possible impact on the U.S. economy and on U.S. consumers, including downstream industries in the United States. Nevertheless, it respectfully submits that this is not the case for the lithium salts, carbonate solvents, and electrolyte additives at issue here and respectfully requests their removal from the list of products proposed subject to Section 301 tariffs.

1. China Is Currently the Only Viable Source for These Materials

Currently, MCIS-US’s Tennessee electrolyte production facility has no choice but to import lithium salts, carbonate solvents, and electrolyte additives from China. This is because there are presently no other viable sources of these inputs outside of China. The industry developed in China as a natural outgrowth of the consumer electronics industry, as producers of LIBs for consumer electronics like cell phones and laptop computers developed new capabilities and applications for their products. As the Chinese industry grew, so too did the manufacture in

¹² 83 Fed. Reg. at 14907; *see also* Testimony of Ambassador Robert E. Lighthizer, Hearing on U.S. Trade Policy, Committee on Ways & Means, U.S. House of Representatives (March 21, 2018), available at <https://waysandmeans.house.gov/wp-content/uploads/2018/05/20180321FC-Transcript.pdf>.

¹³ *See* 83 Fed. Reg. at 14907 and <https://www.ictsd.org/bridges-news/bridges/news/us-president-signs-memo-on-proposed-section-301-measures-directed-at-china> (citing USTR testimony on the Section 301 tariffs).

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China of feedstocks such as hydrogen fluorides, lithium fluoride, and phosphorous pentachloride that are used to make lithium salts, carbonate solvents, and electrolyte additives. As a result of this organic growth over the last two decades and the resulting closely integrated supply chain, China is currently the only viable source for formulated electrolyte manufactures like MCIS-US to obtain these critical raw material inputs:

- Lithium salts:** Currently, the only producers of lithium salts that can meet the volume and quality levels required by MCIS-US are located in China. While MCIS-US has [

]. Sourcing from other countries is simply not an option. While there is [

7. Data on the current global lithium salts industry is shown in the following chart:

[illegible]

The current global production of these carbonate solvents is summarized in the following

[illegible]

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MCIS-US and MCA are [

]. They are []. We are also [

]. However, [

].

[

]. Further, the success of any new facility rests on access to [].

[

]. [

]. Such [

].

Further, the [

]. This is possible in China because

[

]. This [

]. In

addition, [

]. Such conditions [

Page 10

].

[

]. [

]. For example, [

]. However,

[

]. Even then,

they [

].

In sum, China remains the only viable source presently for the lithium salts, carbonate solvents, and electrolyte additives required by MCIS-US. [

].

2. The Tariffs Would [

]

Even tariffs at the 10 percent level on these inputs would [] MCIS-US's manufacturing plant, [

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]. Currently, [

]. Moreover, [

]. As a

result, [

].

The following chart shows the impact on MCIS-US's gross income after taxes of even a 10 percent increase in the costs of these inputs:

[

]

As can be seen from the above chart, even 10 percent tariffs on MCIS-US's U.S. production of formulated electrolyte would [

]. This would [

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]. Effectively, the proposed tariffs []¹⁴

B. The Imposition of Section 301 Tariffs Would [] the Downstream U.S. LIB and Electric Vehicle Industries

If MCIS-US is [], the downstream LIB and electric vehicle industries will suffer. Currently, the U.S. LIB and electric vehicle industries are growing rapidly []. For example, []

]. At present, []. In addition, []. Some []

].

As a result, they have []. Regardless of whether []

¹⁴ Temporary product-specific exemptions from the proposed tariffs []. Even if MCIS-US could []

].

]. There would no longer [
].

C. The Proposed Tariffs Would Promote China's Own LIB and Electric Vehicle Industries at the Expense of Their U.S. Competitors

If U.S. LIB producers are forced to [] their own production of LIBs in this country as a result of increased costs for formulated electrolyte that result from the proposed tariffs, U.S. electric vehicle manufacturers will [
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Currently, China is the world's largest producer of LIBs for electric vehicles, accounting for approximately 60 percent of global capacity.¹⁵ U.S. producers like MCIS-US and their downstream customers have [
].

]. However, if tariffs are imposed on the critical raw materials that support the LIB industry in the United States, [
].

¹⁵ See

].

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The United States and USTR should be supporting the efforts of this U.S. industry, not preventing them from succeeding. [

]. [

]. [

]. Those efforts [

].

Accordingly, MCA respectfully requests that the specific inputs that they currently import from China be removed from the proposed list of products subject to the Section 301 tariffs.

V. Conclusion

MCA appreciates this opportunity to comment on the proposed Section 301 tariffs. While MCA understands and supports the motivation for fairer trade policies and a level playing field, it respectfully requests that imports from China of certain lithium salts, certain carbonate solvents, and electrolyte additives for LIB production classified under HTS subheadings 2826.90.90, 2920.90.51, and 2932.99.90 be removed from the list of products targeted for tariff treatment. Regardless of the level of tariffs assessed, MCA has no choice but to continue to purchase these products from China because no viable alternative sources of supply exist – either in the United States or in third countries – to replace what is currently sourced from China.

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As such, these tariffs will have no effect on the Chinese policies that the administration is trying to influence. Instead, they will only [

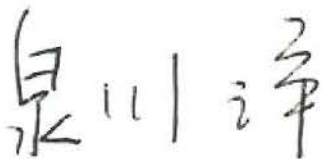
]. This would

have a severe impact on the U.S. economy, the over 200,000 Americans employed by these sectors, and U.S. consumers.

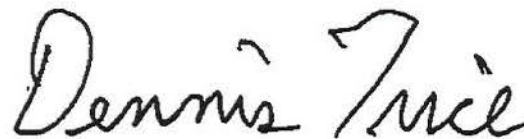
Request for Confidential Treatment

In accordance with the USTR Section 301 Notice, MCA hereby requests confidential treatment for information designated as business confidential in this submission. Such information consists of information that would not customarily be released to the public, including business or trade secrets regarding production costs and processes, product characteristics, and other sale-related business secrets, and the names of individuals or organizations that provided price, cost, and other market information. Business confidential information is indicated in the comments below via single brackets ("[]"). Release of this information would cause irreparable harm to the submitter. A public version of these comments is also being filed with all confidential information redacted.

Respectfully submitted,



Hiroshi Izumikawa
Senior Manager
Mitsubishi Chemical Corporation
Electrolyte Department, Lithium Ion
Battery Materials Division



Dennis Trice
President
Mitsubishi Chemical America, Inc.

Attachment A

Before the Office of the United States Trade Representative

**Hearing on the Proposed Determination of Action Pursuant to Section 301 of the Trade Act of 1974: China's Acts, Policies and Practices Related to Technology Transfer, Intellectual Property, and Innovation: Docket Number USTR-2018-0026
August 20-23, 2018**

Testimony of Mr. Dennis Trice, President, Mitsubishi Chemical America, Inc.

Good morning Mr. Chairman and members of the Committee. I am Dennis Trice, President of Mitsubishi Chemical America, Inc. Together with Japan's Mitsubishi Chemical Corporation and our twenty one U.S. subsidiaries, MCA is a global leader in the production of advanced chemicals for consumer products, medical and industrial applications, transportation, construction, and countless other industries.

Our company has been and continues to be committed to growing our business in the Americas as evidenced by investments totaling nearly \$900 million over the past 10 years. We employ over 2,600 skilled American workers and our U.S. operations contribute billions of dollars every year to the U.S. economy.

Among our most significant recent investments was a new \$38 million state-of-the-art manufacturing facility in Tennessee, just outside Memphis. Our subsidiary MC Ionic Solutions US, Inc. operates this Tennessee facility which accounts for virtually all production of formulated electrolyte for lithium ion batteries that will power American-made electric vehicles like the Tesla Model 3, Nissan Leaf and Chevy Bolt, and business is booming.

Our investments in the Memphis factory have already created 60 new full-time manufacturing jobs with an average wage of nearly \$65,000. Our current plan is to double production at the Tennessee plant by the end of next year, and to continue to hire more workers to meet strong demand.

Among the key inputs for the electrolyte made in Memphis are certain specialty chemicals, including certain Lithium salt, certain carbonate esters, and electrolyte additives. Currently, we mainly import these products from China under HTS subheadings 2826.90.90 and 2920.90.51.

These imports are absolutely critical to the success of our investment in Memphis and our ability to domestically manufacture the components for lithium ion batteries. These are the chemicals that make lithium ion battery production in the United States possible at plants like the Nissan factory in Smyrna, Tennessee, the LG Chem factory in Holland, Michigan, and the Panasonic factory in Reno, Nevada.

It would be disastrous for us and our U.S. customers if USTR were to impose additional tariffs on them as a result of this Section 301 proceeding. There simply is no other viable source for these key inputs outside China in the volumes and at the quality levels that we require. Developing new sources outside of China to replace existing production would take massive, long-term investments and many years. Even then, China is likely to remain the sole viable source for many of these inputs and their component chemicals.

Thus, if Section 301 tariffs are imposed, we will have no choice but to pay them. And the cost of even the 10% tariffs would be so high that it will force us to reconsider our investments in the United States and our plans to continue to grow our manufacturing footprint in this country.

Worse yet, the tariffs will hit not only our U.S. operations, but those of downstream U.S. industries such as the lithium ion battery industry, the electric vehicle industry, and the tens of thousands of Americans employed by these industries. The tariffs on these critical components of lithium ion batteries will greatly undercut the efforts of U.S. automakers and other U.S.

industries to remain competitive and develop new, energy efficient and high performance products. The U.S. government should support the growth of this fledgling industry domestically, not create incentives to move it overseas.

At the same time, the tariffs will be unlikely to address the Chinese government policies discussed in USTR's Section 301 report. For years we have been able to source these materials from China without encountering intellectual property rights infringement or forced technology transfers.

On behalf of MCA and its over 2,600 U.S. employees, as well as the whole of this new emerging industry, we deeply appreciate this opportunity to present the facts. While we understand and appreciate the policy goals of this Section 301 action to provide a level playing field for U.S. companies and all Americans, we respectfully submit that the proposed tariffs would have precisely the opposite of their intended effect if applied to imports of these specialty chemicals. Accordingly, USTR should remove them from the proposed Section 301 tariff list.

Thank you for your attention and I welcome any questions that you may have.

Attachment B

DOCUMENT(S)

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SUMMARY